K. Surappa vs V. Venkatesha Reddy And Others on 17 November, 1995

Equivalent citations: 1997ACJ482, AIR1996KANT258, ILR1996KAR1186, 1996(1)KARLJ534, AIR 1996 KARNATAKA 258, (1997) ACJ 482 (1996) 1 KANT LJ 534, (1996) 1 KANT LJ 534

JUDGMENT

1. This appeal is filed by the claimant for compensation for injuries sustained by him in an accident against the judgment and award of the Motor Accidents Claims Tribunal rejecting his claim.

2. The petitioner who is a police constable was deputed for election work on 7-3-1971 in booth No. 12 at Harihar in connection with the general elections. On 7-3-1971 at about 9.30 p.m. when he was returning with other staff in bus bearing No. MYY 3122 belonging to the present first respondent and driven by the second respondent before the Tribunal the vehicle dashed against a road side tree and a nearby temple and then capsized. The petitioner alleged that that accident took place due to rash or negligent driving of the bus by its driver and that he sustained injuries in that accident. The petitioner had earlier made a claim petition in M.V.C.11/72, but as there was mis-description of the owner the petitioner got that application dismissed and filed this present petition. The Deputy Commissioner, Chitradurga District, who had requisitioned the bus for election purposes as well as the Election Commission were impleaded as respondents 3 and 4 respectively. The insurer of the bus was impleaded as the 5th respondent. The Union of India was also impleaded as party.

3. The first respondent, the owner of the vehicle, in his objections contended that in view of the dismissal of the earlier petition in MVC.11/72 the present application was not maintainable, that on the date of the accident the vehicle in question was not in his possession and the driver was not in his employment as the vehicle had been commandeered by the Deputy Commissioner for carrying election boxes and officials and it was actually the Deputy Commissioner who was the de-facto owner of the vehicle at that time and the driver was under his control and direction. He also pleaded that the accident did not take place due to any rash or negligent driving of the vehicle but due to some mechanical defect. The second respondent, Deputy Commissioner, denied that the accident took place due to rash or negligent driving of the bus by the driver and pleaded that the claim was barred by time and that the Election Commission of India was a necessary party since the bus was commandeered for election purposes. The Election Commission of India while denying the averments that the petitioner was deputed for election work or that that accident took place in the manner alleged by the petitioner contended that they are not necessary parties to the petition as the Government of India has to bear the expenses of the election.

4. The Union of India had not filed any objections. The insurer took up the plea that the accident took place due to a mechanical defect and further pleaded that as the bus had been commandeered by the Deputy Commissioner for election purposes which was outside the scope of the cover granted tinder the policy, the respondent was not responsible to pay any compensation. It also took up the

plea that the present claim was barred in view of the dismissal of the earlier claim in M.V.C.1I/72.

5. The Tribunal on a preliminary point had held that the present claim petition was not maintainable in view of the dismissal of the earlier petition in M.V.C.11/72. This Court in M.F.A.1023/78 set aside that order and directed the Tribunal to proceed to consider the application for condonation of delay as well as the claim petition in accordance with law.

6. After recording evidence the Tribunal has condoned the delay in making the claim petition holding that the claimant had made out sufficient cause for the delay. The Tribunal also has held that the accident took place due to rash or negligent driving of the bus by, its driver and that the claimant who was travelling in the vehicle on duty sustained compound fracture of both bones of left leg and another simple fracture. The Tribunal also found that there was no evidence of permanent disability. On the material on record the Tribunal has held that the claimant would be entitled to compensation of Rs.20,000/-.

7. While dealing with the question as to who was liable to pay the compensation the Tribunal has held that as the bus had been requisitioned by the Deputy Commissioner for election purposes and as the evidence indicated that the bus was under the control of the election officer and the driver was receiving instructions from the officer, there was no relationship of master and servant as between the first respondent-owner and the driver and that on the other hand the driver must be deemed to have been in employment of the election officer. The Tribunal has therefore held that the first respondent who is the owner of the vehicle as well as fifth respondent-insurer are not liable to pay, the compensation. So far as the liability of the Deputy Commissioner, Election Commission and the Union of India is concerned the Tribunal has held that the vehicle had been requisitioned for holding elections, that as the vehicle was being used for a sovereign function of the State, the State is entitled to exemption from liability for tortious act committed by the driver. In the result the Tribunal has dismissed the claim petition.

8. The learned counsel for the appellant-claimant contended that the finding of the Tribunal that the relationship of master and servant between the first respondent and his driver had been suspended when the vehicle had been requisitioned by the Deputy Commissioner is not correct, that under the provisions of the Representation of the People Act ('the R. P. Act' for short) the owner of the vehicle is entitled to the fare by way of compensation and that the relationship between the driver and the owner of the vehicle must be deemed to have subsisted. He next contended that if it is to be held that the driver was driving the vehicle on behalf of the Government then the finding that the State is not liable for the tortious act of the driver as the State has got sovereign immunity is not correct.

9. On the material on record it is now established or undisputed that the bus in question which belongs to the first respondent was requisitioned by the Deputy Commissioner for election purposes under the provisions of S. 160 of the R. P. Act. It is also not disputed that the second respondent before the Tribunal had been employed by the first respondent as the driver of the vehicle and that the said second respondent was driving the vehicle when the accident took place. The finding of the Tribunal that the accident took place due to rash or negligent driving of the driver has not been challenged.

10. The Tribunal has held that as the vehicle had been requisitioned by the Deputy Commissioner and as the petitioner admitted in his evidence that the bus was in the control of the election officer and the driver was proceeding as instructed by the election officer, there was temporary cessation of relationship of master and servant between the first respondent and the driver and that at the time of the accident it cannot be said that the driver was driving the vehicle in the course of his employment under first respondent for first respondent's benefit.

11. If the person driving a vehicle at the time of the accident was an employee of the owner of the vehicle, generally it would be presumed that the driver was driving it in the course of his employment. The owner who wants to get over his liability for the negligence of the driver has to establish that there was cessation of relationship of master and servant between him and the driver at the relevant point of time. The question is whether on the facts of this case the Tribunal was correct in holding that the relationship of master and servant between the first respondent and the driver came to an end or was suspended when the vehicle was requisitioned by the Deputy Commissioner.

12. Section 160 of the R. P. Act authorises the Government to requisition any vehicle which is likely to be needed for the purpose of transport of ballot boxes or members of the police force to and from the polling station. The mere fact that the vehicle ' is requisitioned by the Deputy Commissioner under the above statutory provision, does not lead to the inference that the driver of the vehicle ceased to be the employee of the owner nor does it indicate that the owner ceased to have interest in the vehicle.

13. Section 161(2) of the R. P. Act stipulates that the Government should pay hire for the vehicle on the basis of the fare or rates prevailing in that locality for such vehicle. If the owner of the vehicle is aggrieved by the amount of compensation, he is given the right to apply to the State Government for referring the matter to an arbitrator. As such it is not as if the vehicle is taken from the owner free of cost. Virtually the vehicle is taken on hire by the Government when it is requisitioned under S. 160. It should be noted that S. 160 only contemplates requisitioning the vehicle and not the services of the driver. It is because the owner is entitled to claim hire charges for the vehicle by way of compensation he sends his driver to drive the vehicle requisitioned. When the owner of a vehicle gives his vehicle on hire along with the driver the relationship of master and servant between him and the driver does not get suspended nor does it come to an end. It is the master who has to pay the wages of the driver even for the period for which the vehicle is given on hire, unless under the terms of the agreement the hirer is required to pay the wages of the driver and the hire charges payable to owner are only in respect of the vehicle. When the vehicle along with the driver is taken on hire for a temporary period and there is no stipulation that the hirer should pay the wages of the driver then the mere fact that the vehicle would be under the control of the hirer or the driver is required to take the vehicle to the places where the hirer wants it to be taken, the driver does not cease to be the employee of the owner of the vehicle. The person who takes the vehicle on hire would not become the employer of the driver merely because he can give instructions to the driver as to when or where the vehicle is to be taken. In the Law of Torts by Rathanlal and Dhirajlal, 21st Edition, at page 109, while discussing the subject "Lending of Servant"

there is a reference to the decision in Mersey Docks and Harbour Board v. Coggins & Griffith (Liverpool) Ltd., (1946) 2 All ER 346, and other decisions on the subject. The relevant passage reads as hereunder :

"... In Mersey Docks and Harbour Board v. Coggins & Griffith (Liverpool) Ltd. the appellants let out their crane and driver to the respondent Stevedores under a contract providing that the driver shall be servant of the respondent. The crane driver by his negligence injured a person giving rise to the question as to who was the master at the time of the accident for purposes of vicarious liability. All the Courts held that there was no transfer of the servant and the appellants continued to be the master and were, therefore, liable for the negligence of the servant. Lord Porter in his speech in the House of Lords pointed out that an arrangement for the transfer of the services of the servant from one master to another can take place only with his express or implied consent and that it is not legitimate to infer that a change of masters has been effected because a contract has been made between the two employers declaring whose servant the man employed shall be at a particular moment in the course of his general employment by one of the two. He then observed : 'The most satisfactory test, by which to ascertain who is the employer at any particular time, is to ask who is entitled to tell the employee the way in which he is to do the work upon which he is engaged. If someone other than his general employer is authorised to do this, he will, as a rule, be the person liable for the employee's negligence. But it is not enough that the task to be performed should be under his control, he must also control the method of performing it. It is true that in most cases no orders as to how a job should be done are given or required : the man is left to do his own work in his own way. But the ultimate question is not what specific orders, or whether any specific order, were given but who is entitled to give the orders as to how the work should be done. Where a man driving a mechanical device, such as a crane, is sent to perform a task, it is easier to infer that the general employer continues to control the method of performance, since it is his crane and the driver remains responsible to him for its safe keeping. In the present case, if the appellant's contention were to prevail, the crane driver would change his employer each time he embarked on the discharge of a fresh ship. Indeed, he might change it from day to day without any say as to who his master should be and with all the concomitant disadvantages of uncertainty as to who should be responsible for his insurance in respect of health, unemployment and accident.' Although this was a case where a machine was let out with a man, the same principle has been followed when man alone is sent for doing another's work. In the words of Lord Denning, M.R.: 'Just as with employers who let out a man with a machine, so also with an employer who sends out a skilled man to do work for another, the general rule is that he remains the servant of the general employer throughout.' Indeed in the House of Lords decision in Mersey Docks and Harbour Board's case was followed by the Privy Council in Bhoomidas v Port of Singapore Authority, (1978) 1 All ER 956 (PC), where a gang of Stevedores in the general employment of the Port Authority of Singapore was hired out to a ship for loading a cargo of planks from the wharfside and a member of the

> gang was injured by the negligence of another member of the gang. Although this was a case where only men without any machine were sent to work for another, the Privy Council held that the principle was the same and the general employers faced a "formidable" burden which they failed to discharge that there was transfer of services of the gang to the ship."
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> "Where a vehicle is let out on hire with the service of a driver, and an accident occurs through the negligent act of the driver causing personal injuries to a third person, one test for determining who is the master for purposes of vicarious liability, is the answer to the question -- whether the driver in doing of the negligent act was exercising the discretion given to him by his regular employer, or whether he was obeying a specific order of the hirer for whom, on his employer's direction, he was using the vehicle. Ordinarily, when a vehicle is hired with its driver, the driver continues to exercise his own discretion which has been vested in him by his regular master. But, if the hirer intervenes to give directions as to how to drive for which he possesses no authority and the driver pro hac vice (for the occasion) compile with them and an accident occurs resulting in an injury to the third party, the hirer is liable as joint tortfeasor and the general employer is not liable."

On the same subject the following passage is found in Winfield and Jolowicz on Tort, Thirteenth Edition at page 567 :

> "In such cases, the burden of proof, which is a heavy one and can only be discharged in exceptional circumstances rests on A, the general or permanent employer, to shift the prima facie responsibility for the negligence of B, on to the hirer, C, who for the time being has the advantage of B's services. A distinction is to be drawn between cases where a complicated piece of machinery and a driver are lent, and cases where labour only, particularly where it is not of a highly skilled character, is lent. In the former case, it is easier to infer that the general employer continues to control the method of performance since it is his machinery and the driver remains responsible to him for its safe keeping. In the latter case it is easier to infer that the hirer has control not merely in the sense of being able to tell the workman what he wants done, but also of deciding the manner of doing it.
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> The question whether A or C is liable depends on many factors; "who is paymaster, we can dismiss, how long the alternative service lasts, what machinery is employed, have all to be kept in mind." But in cases of this kind the courts have generally adhered to the view that the most satisfactory test, if it can be applied, is, who at the particular time has authority to tell B not only what he is to do, but how how he is to do it. It is a question of fact involving all the circumstances of the case. C may control the particular task to be performed, but he is not liable unless he also controls the method of performing it. If C, though he has no authority to do so, expressly directs B

> to do the act which is negligently done and causes damage, C is generally liable with B as a joint tortfeasor, but A is not liable. A term in the contract between A and C that B shall be the servant of C on the particular occasion is not conclusive but such a contract may entitle A to claim indemnity from C for the damages he has had to pay to X."

The principle of law referred to above applies even in a case where the vehicle is requisitioned under the provisions of statute and the hire charges are paid by way of compensation and the owner of the vehicle deputes his driver to drive the vehicle. All that the evidence of the petitioner shows is that driver was under the control of election officer and that the driver was driving the bus in accordance with the instructions given by the election officer. This answer given by the petitioner cannot be taken to mean that actually the election officer was instructing the driver as to how he should drive the vehicle. The meaning to be attached to that statement of the petitioner, which was given in Kannada, is that he was following the instructions of the election officer with regard to when the bus was to be taken or where it has to be taken. On this material on record it cannot be said that the driver had become the employee of the election officer or that he ceased to be the employee of the first respondent. In fact the first respondent has not adduced any evidence to show that he was not required to pay the wages of the driver during that period. On the other hand S. 161 of the R.P. Act only contemplates paying compensation equivalent to the fare payable in that locality to the owner of the vehicle and does not contemplate wages payable to the driver of the vehicle. As such the finding of the Tribunal that there was cessation of relationship of master and servant between the first respondent and the driver during the period of the requisitioning of the vehicle cannot be sustained. It must be held that the driver continued to be employee of the first respondent and that the first respondent is vicariously liable for the rash or negligent driving of the bus by the driver. In view of this conclusion it is not necessary to go into the question whether the State can claim sovereign immunity for the tortious act of the driver of a vehicle.

14. So far as the liability of the insurer is concerned the policy is marked as Ex. D5 and it shows that the policy was in force as on the date of the accident. By collecting additional premium of Rs.234/- endorsement No. 13 has been issued and under that endorsement the liability of the insurer is limited to a sum of Rs. 5,000/- in respect of any one person and to a sum of Rs. 75,000/- in respect of any number of claim in connection with any one accident. The only objection which has been raised by the insurer with regard to its liability namely that as the vehicle had been commandeered for election purposes it is not liable to pay the compensation has been rightly negatived by the Tribunal. The Tribunal has pointed out that such defence is not permissible under S. 96(2) of the Motor Vehicles Act. It is unfortunate that the appellant who sustained injuries in the accident which took place in 1971 has not been able to get any compensation even after a lapse of nearly a quarter century. Taking into consideration this circumstance I feel this is a fit case where he should be awarded interest at 12% per annum.

15. For the above reasons this appeal is allowed with costs and the judgment and award of the Tribunal rejecting the appellant's claim are set aside. The petition filed by the appellant is allowed in part awarding him Rs. 20,000/- together with costs and current interest at 12% per annum from the date of the filing of the petition till date of payment. The insurer who is the fifth respondent in this

appeal shall pay Rs.5,000/-together with proportionate interest and costs and the balance shall be payable by the first respondent, who is the owner of the vehicle. The claim against the other respondents is rejected. Advocates fee Rs. 2,000/-. The insurer shall also pay the costs of this appeal.

16. Appeal allowed.